Title: Exit and Full & Final Settlement Policy

OBJECTIVE:
The policy aims to define the workflow around the Exit Process and Full & Final Settlement Process which refers to the process of calculating the dues payable / recoverable to any employee exiting the organization.

APPLICABILITY:
The policy is applicable to all employees of Arvind Ltd and its subsidiary companies, Anup Engineering Ltd and Arvind Smartspaces Ltd within management/staff cadre

EFFECTIVE DATE: 24.02.2024

EXIT POLICY:

- Either party the (Company or the Employee) can terminate the employment / services, without assigning any reason, by giving notice of sixty (60) days in writing to other party and/or salary (notice pay) in lieu thereof. The notice period shall not be adjusted against any type of balance leave. In an event of the employee leaving the Company without serving the entirety of the requisite notice period, the Company reserves it rights to recover the Notice Pay (as defined below) from any dues (including unpaid salary) of the employee or otherwise.
- For the purposes of this clause, Notice Pay means total cash pay-out (which shall mean and include basic salary + Personal Allowance + House Rent Allowance + Flexible Benefits Plan)
- In the event of any Leave Without Pay (LWP) during the notice period, it will not be adjusted against any available leave balance. The deduction for LWP will be calculated based on the gross salary of the employee.
- Any remaining Privilege Leave (PL) balance of an employee will be paid out based on their Consolidated Salary (Basic Salary).
- Notwithstanding anything contained in the Appointment Letter, the Company is at liberty to either suspend or terminate service / employment forthwith without assigning any reason thereof or providing any notice or compensation, in case the employee is found guilty of any act of dishonesty, breach of any polices of the Company, including but not limited to the Code of Conduct, whether during the course of employment or otherwise, which, in the opinion of the Company, is detrimental to its interests.
- Any employee availing Leave Without Pay (LWP) / remain absent / having single punch during notice period due to any given circumstances, then such days shall count towards notice period shortfall and recovered from the employee’s full & final settlement.
- Any employee who has enrolled under the Eklavya policy, shall have to reimburse the cost incurred by the company in the following scenario:
    - If the employee doesn’t obtain a minimum of Fifty percent (50%) marks or its equivalent grade for the program, the employee shall be responsible for reimbursement of tuition fees (100%) incurred by the Company; upon failure, the Company shall be liable to take suitable actions for recovery including but not limited to the necessary deductions from final settlements. The deduction would be on basis of 100% of the amount paid by the company.
- After the completion of program and in the event of either the separation of employee from the Company within such duration as mentioned in the table below, the employee shall be responsible for reimbursement of tuition fees incurred by the Company and as reflected in the table below;

upon failure, the Company shall be liable to take suitable actions for recovery including but not limited to the necessary deductions from final settlements. The deduction would be on basis of 100% of the amount paid by the company.

- In case of recovery, study leaves would be adjusted from the PL balance of an employee. In case of insufficient PL balance, such days shall be considered as Leave without Pay (LWP) and the amount shall be recovered accordingly.

Tuition Fees incurred by Company	**Separation Period (from completion of course / expected date of completion of course)**
100%	Within 1 Year
50%	Within 2 Years

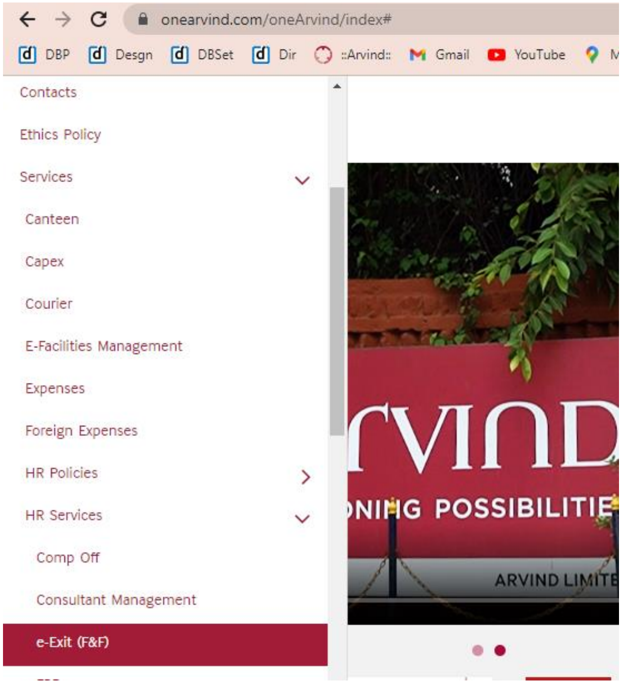
<u>PROCESS FLOW</u>:

- Voluntary Separations:
  - Employees choosing to voluntary resign from the services of the company, need to submit their resignation request on Darwinbox or physically submit it to the manager. In case of physical submission, eventually the employee / HR needs to make an entry in Darwinbox by uploading the physical document (resignation copy duly accepted by the manager) as an evidence.
  - The notice period shall start from the date, the employee has resigned in the system.
  - Resignations through e-mail or hard copy will not be considered valid.
  - Once the resignation is applied, it will flow to the manager for approval, post which it will flow to the BUHR Lead for approval
  - Your notice period starts from the day of your resignation and not from the day your manager / HR head approves it
  - In case if the last working day requested is prior to the date on which your notice period gets over, system will automatically show you the number of days for the purpose of recovery due to shortfall of notice period served.
  - Steps:
    - Click on “View Profile”
    - Click on “Employee Life Cycle”
    - Click on “Separation” it will take you to ‘Apply For Resignation page’
    - System will automatically take current date as the “Date of Resignation”
    - Provide the “Requested Last Day” in the system (the date you want to be released from the system)
    - Provide your “Reason for Resignation” from the provided drop down.
    - Click on “RESIGN” at the top on right hand side of the page. Your Resignation will be submitted

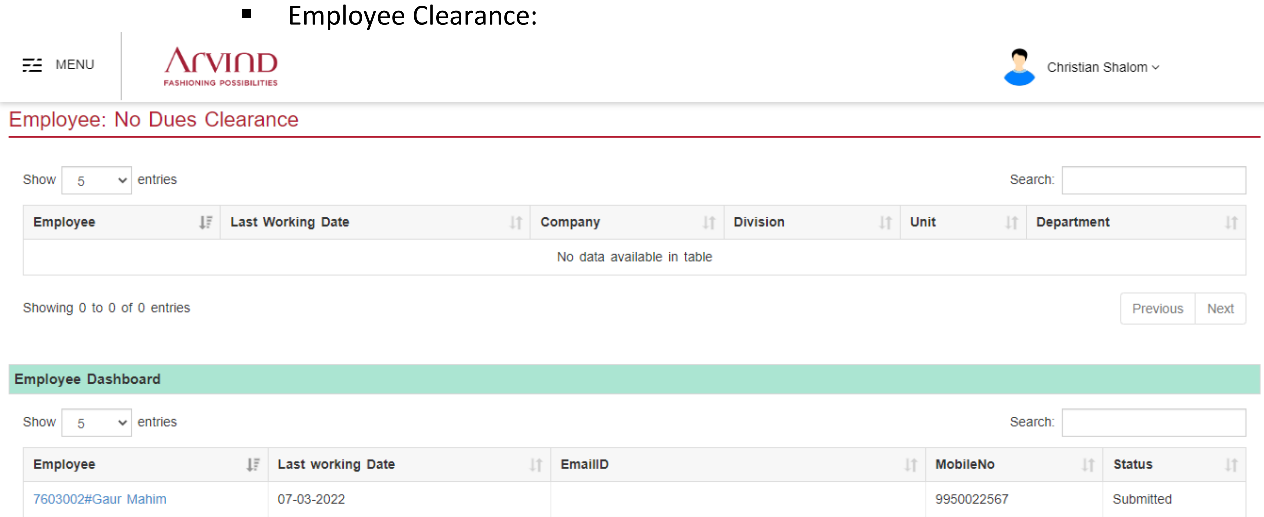
- Retirement:
  - In case of Retirement, the BUHR lead shall submit the request in Darwinbox

- Full & Final Settlement:

- No dues clearance has been digitized and henceforth there shall be no offline forms that employees will have to fill.
- The No dues clearance process shall be triggered on the next day of BUHR Head approving the resignation request.
- Major activities involved in the full and final settlement:
  - The No dues clearance will get triggered to all the relevant stakeholders – primarily – Employee, Business HR, CMG, IT, Admin, Finance departments.
  - Employee will be able to view the status of the no dues clearance



  - Employee Clearance:



Employee: No Dues Clearance

Show 5 entries Search:

Employee	Last Working Date	Company	Division	Unit	Department
No data available in table					

Showing 0 to 0 of 0 entries Previous Next

Employee Dashboard

Show 5 entries Search:

Employee	Last working Date	EmailID	MobileNo	Status
7603002#Gaur Mahim	07-03-2022		9950022567	Submitted

  - No Dues Clearance Status:

EmpNo	CMG - Hard Furnishings	CMG - Perquisites	IT Hardware	IT Software	HR	Account	Travel Settlement	Admin	Submit	OracleApproval	SAPPayment
7016493 # Sarvan Dhanesh	04-08-2022				06-08-2022	20-08-2022	22-07-2022		20-08-2022	23-08-2022	

- IT Clearance:
  - It involves returning the IT assets given by the company, such as laptops, monitors, etc.
  - This is generally done on the last working day of the employees in a company.
  - In case the given assets are found to be damaged, the related amount is recovered from the employee FnF.

Division Name	Telecom Division	Last Working Date	24-02-2022

Company Laptop With Bag.	YES	100
Desktop	YES	200
Printer	YES	200
Scanner		0
Barcode Scanner		0
Barcode Printer		0
Projector		0
I-PAD		0
VC Device		0
Software License		0
Other	YES	400
Total		1300
IT asset damage recovery	YES	0

- Finance / Travel Settlement Clearance:
  - It involves checking any outstanding reimbursements, expenses on the company's card, travel settlement, loans and advances etc which are recovered from the employee FnF
  - Any amount if due to be paid to the employee, is paid in the FnF

Finance & Account:Full & Final settlement Form

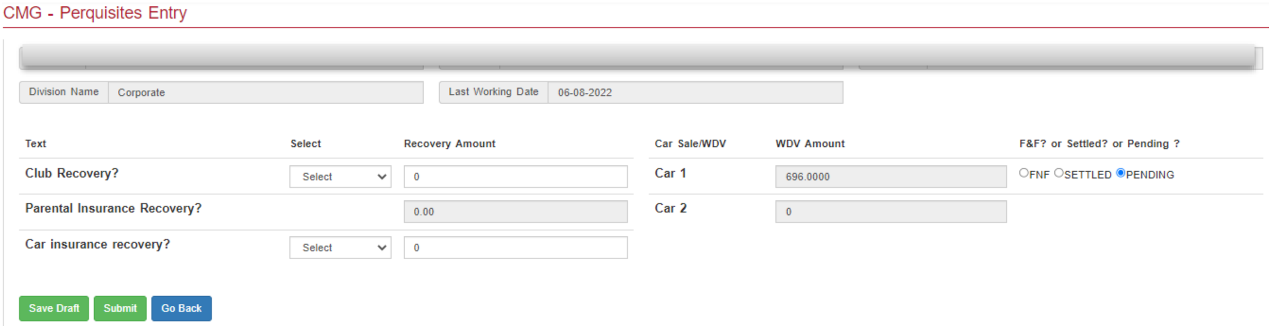
Loan Amount	0	Division Name	Essentials	Last Working Date	
IT Asset Total	150.0000				

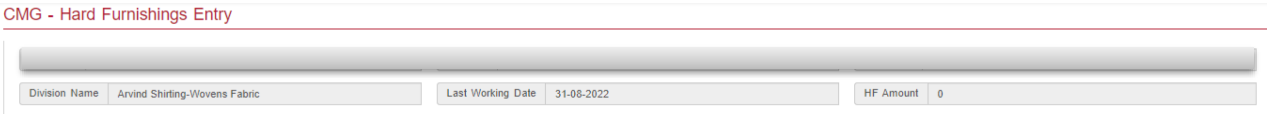
CompneyCode	Account	DocumentNo	DocumentType	Indicator	Discription	Amount	Type	Text

Submit Go Back

- CMG Clearance
  - In case if employee has availed Car through the Company Car scheme, then completing the relevant formalities

- In case of Club Membership, clearing the outstanding/dues at the club, and submitting the card to the company
- Parental Insurance: In case if the employee has availed parental insurance, and resigns before the total premium amount is paid to the company then such payment shall be recovered from the F&F settlement

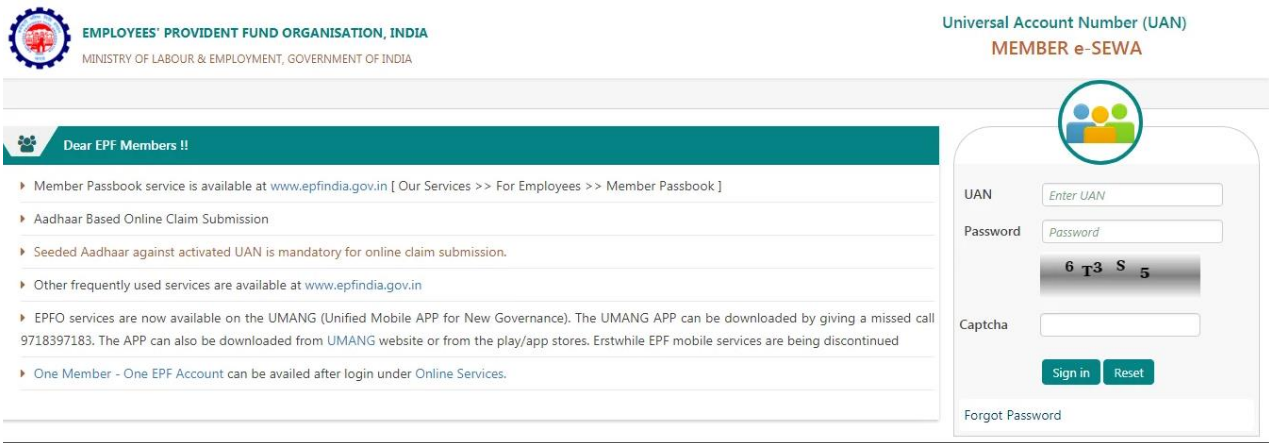




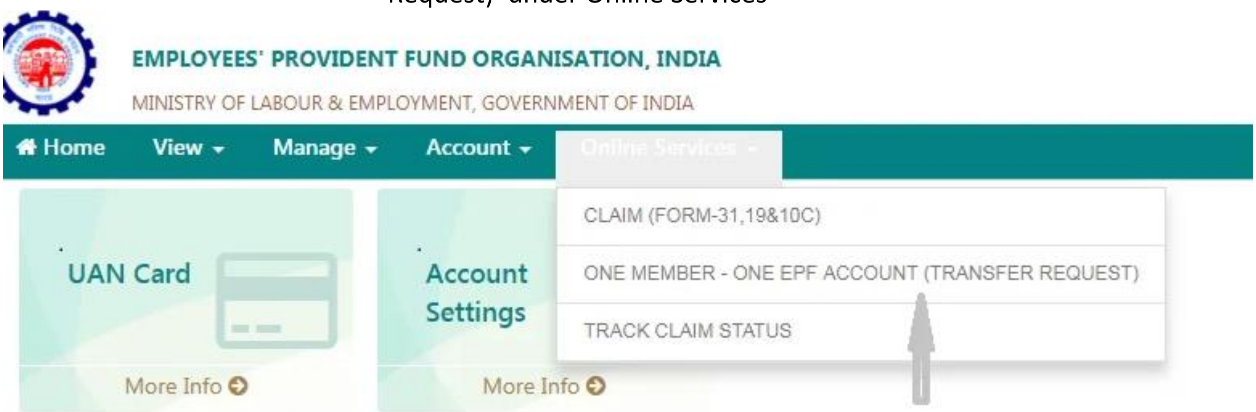
- Relevant stakeholders need to ensure that the clearance is done within 7 days of the task allocation.
- In case of any specific reason due to which the No dues clearance cannot be provided to the employee, then the respective stakeholder needs to write an email to corporate.hr@arvind.in informing the case in detail
- The final payout to the employee shall be done within 30 days of the last working day of the employee.
- Provident Fund:
  - Employee's contribution with interest can be withdrawn if the employee continues to be on break for up to 60 days; or
  - Transfer the balance to the current employer
  - In order to make it an ideal saving for retirement it is always better to transfer the PF balance instead of withdrawing.
  - This is also advisable from the tax standpoint as withdrawal of PF within 5 years of continuous service attracts tax.
  - In order to make online PF transfer, please ensure the following:
    - The member should have activated his UAN in UAN portal and mobile number used for activation should also be active
    - Bank account and bank IFSC code of employee should be seeded against the UAN Seeding Aadhar number and PAN against UAN is not mandatory for raising transfer claims
    - The employer should have approved the e-KYC
    - The previous/current employer should have digitally registered authorized signatories in EPFO
    - PF account number of both previous and current employment of an employee should be entered in EPFO database
    - Only one transfer request against the previous member ID can be accepted

- Personal information and PF account related information is shown in EPFO should be correct

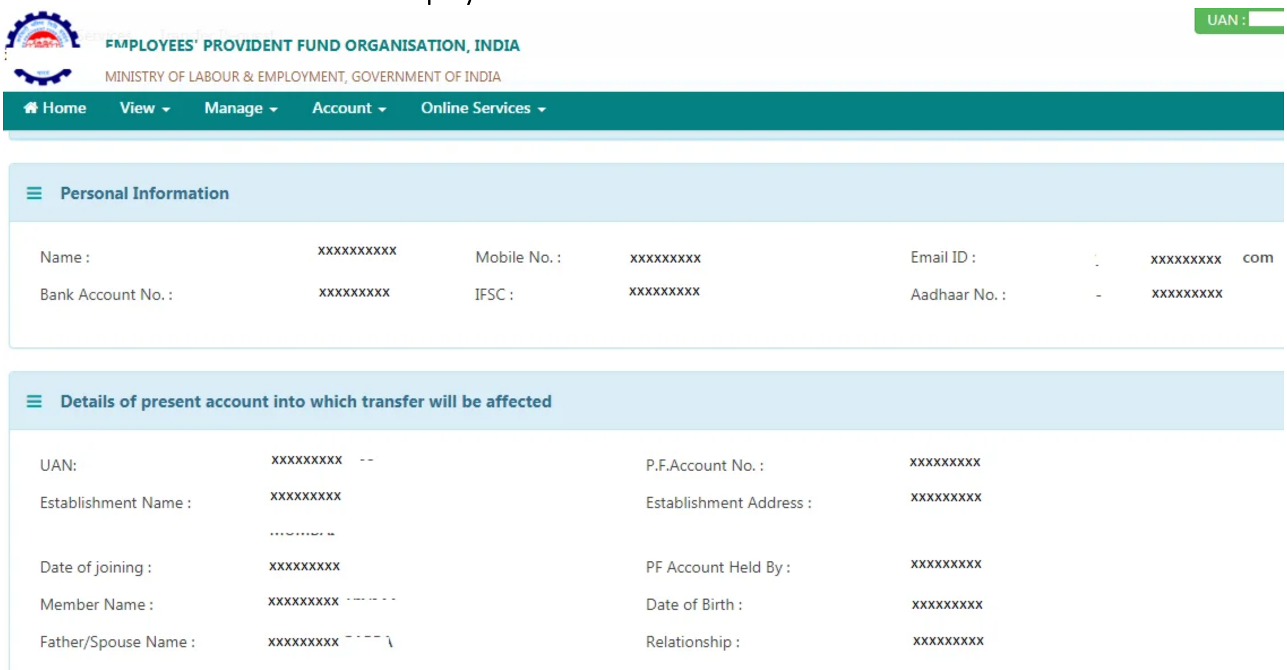
▪ Procedure to transfer PF online
- Step 1: Login to Unified portal (member interface) by using your credentials i.e., UAN number and password



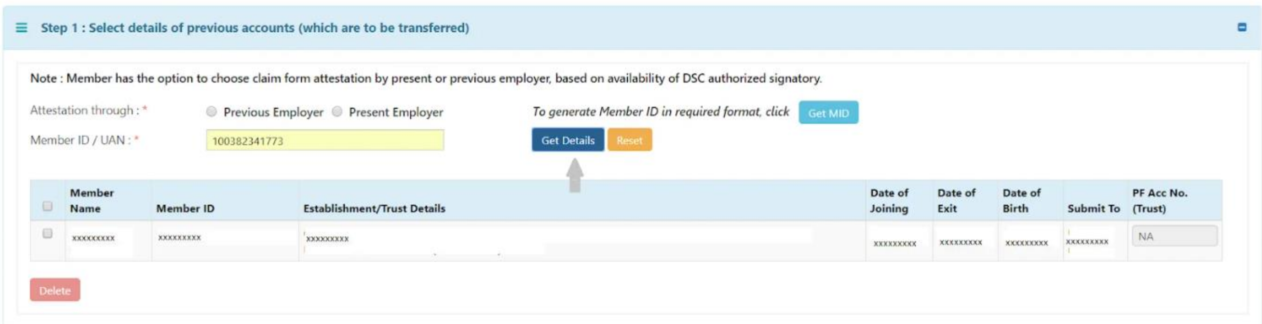
- Step 2: After login, click on 'One Member – One EPF Account (Transfer Request)' under Online Services



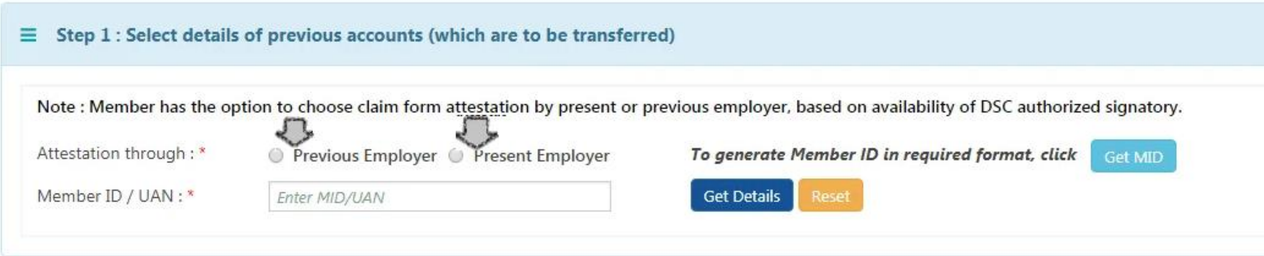
- Step 3:Verify personal information and PF account for present employment:



- Step 4: PF account details of previous employment would appear on clicking on ‘Get details’ below.



- Step 5: You have the option of choosing either your previous employer or current employer for attesting the claim form based on the availability of authorized signatory holding DSC. Choose either of the employers and provide member id/UAN:



- Step 6: In the next step, click on 'Get OTP' to receive OTP to UAN registered mobile number and enter the OTP and click on submit.

- Step 7: The employer will digitally approve your EPF transfer request by accessing employer interface of the unified portal. Fill up Form 13 with details including PF number from both previous and current employer and download the transfer claim (pdf format). Submit the physical signed copy of the online PF transfer claim form to the selected employer within a period of 10 days.

  - The Experience Letter shall be provided to the employee on the last working day while the Relieving Letter shall be provided to the on completion of successful No Dues Clearance.

NOTE: The management reserves all right to append, modify, withdraw any part or complete policy at any time without any prior notice.